

FIVE-BEDROOM RENTAL INVESTMENT COMPARISON

12 properties across Texas and Louisiana, scored for long-term buy-and-hold

Prepared for M Mohsin Chowdhury - 4 October 2026

Source: 14 listing screenshots in MMS-ITS/Houstonhome

The finding that governs everything else

At today's investor mortgage rates, none of the five properties with a confirmed price generates positive cash flow, and none comes close. This is not a matter of picking the best one. Every one of them loses money every month, and the losses are large.

Negative leverage, on every property

The five priced homes return capitalisation rates of 1.5% to 2.9%, while the debt to buy them costs about 8.25%. You would be borrowing at roughly three to five times the rate the asset earns. Monthly cash flow runs from -\$889 on the best to -\$1,577 on the worst - that is -\$10,670 to -\$18,926 a year out of your pocket, before a single repair. Debt service coverage lands between 0.22 and 0.43, against the 1.20-1.25 a lender looks for on a rental.

Ranked, with the caveat that the ranking is relative

Scores are out of 10 across 18 weighted criteria. These are rankings among loss-making options, not endorsements.

#	Property	Builder	Price	Bed	Cap	Cash flow/mo	DSCR	Score
1	Cut and Shoot, TX 77303	Starlight Homes	\$289,990	5	2.60%	-\$1,006	0.38	5.12
2	Caldwell, TX 77836	Lennar	\$277,750	5	2.92%	-\$889	0.43	4.91
3	Crosby, TX 77532	Lennar	\$290,990	5	2.37%	-\$1,065	0.35	4.86
4	Angleton, TX 77515	Century Communities	\$359,900	4	1.50%	-\$1,577	0.22	3.63
5	Dayton, TX 77535	DRB Homes	\$357,990	5	1.65%	-\$1,525	0.24	3.35

Seven more properties could not be ranked because no price was obtainable, and one screenshot could not be identified at all. Both groups are set out later in full.

THE CENTRAL ARITHMETIC

Why every one of them loses money

The mechanism is the same in each case, so it is worth following once in full. Taking the best-scoring property, the Starlight Homes Pioneer at 5646 Shelford Birch Drive in Cut and Shoot - the one price in this set confirmed directly on the builder's own website:

Asking price (builder-direct)	\$289,990
Deposit at 25%	\$72,498
Loan amount	\$217,492
Monthly principal and interest at 8.25%	\$1,634
Property tax at 2.6% of price (Montgomery Co. with MUD)	\$628
Insurance (Houston metro, hurricane-exposed)	\$267
HOA	\$50
Total fixed monthly outgoings	\$2,579

Against that, the rent. The published median rent for ZIP 77303 is \$1,800 a month. This house is larger than the median rental unit, so the model lifts that by 15% to \$2,070. From that gross figure come vacancy at 8%, maintenance and capital reserve at 8%, and management at 8% - together 24% - leaving \$1,573 actually collected.

\$1,573 collected against \$2,579 owed

That is -\$1,006 a month, or -\$12,069 a year, on the BEST property in the set. To break even the house would have to rent for \$3,393 a month - about 64% above what the market supports. The 1% rule of thumb would want \$2,900; the market gives \$2,070, which is 0.71% of price.

The same test applied to all five priced properties

Property	Price	Rent	Break-even rent	Shortfall	1% rule needs	Actual
Cut and Shoot, TX 77303	\$289,990	\$2,070	\$3,393	-\$1,323	\$2,900	0.71%
Caldwell, TX 77836	\$277,750	\$1,725	\$2,895	-\$1,170	\$2,778	0.62%
Crosby, TX 77532	\$290,990	\$2,100	\$3,501	-\$1,401	\$2,910	0.72%
Angleton, TX 77515	\$359,900	\$2,185	\$4,260	-\$2,075	\$3,599	0.61%
Dayton, TX 77535	\$357,990	\$2,000	\$4,006	-\$2,006	\$3,580	0.56%

Not one property reaches even two-thirds of the rent it would need to cover its own costs. The gap is structural, not a matter of shopping harder: it is the product of a 7.5-8.5% cost of money meeting a 1.5-3% earning yield.

Sensitivity: does a better rate rescue it?

Monthly cash flow at 7.75%, 8.25% and 8.75%.

Property	at 7.75%	at 8.25%	at 8.75%	Swing
Cut and Shoot, TX 77303	-\$930	-\$1,006	-\$1,083	\$153
Caldwell, TX 77836	-\$816	-\$889	-\$963	\$147
Crosby, TX 77532	-\$989	-\$1,065	-\$1,142	\$153
Angleton, TX 77515	-\$1,483	-\$1,577	-\$1,673	\$190
Dayton, TX 77535	-\$1,432	-\$1,525	-\$1,620	\$188

A full percentage point off the rate moves cash flow by roughly \$140-190 a month. The shortfall is \$890-1,580. Rate shopping, a builder buydown, even a return to 6% lending does not close a gap of that size - the deficit is too large by a factor of five or more.

HOW TO READ THIS

Method, and what the numbers rest on

Where the property data came from

You supplied 14 WhatsApp screenshots in the MMS-ITS/Houstonhome repository, each pairing a frontal elevation with a Zillow share link. Those links are the entire factual basis for the property identities. Zillow, Redfin, Realtor, Trulia, Lennar and NewHomeSource all refuse automated page requests from this environment - every direct fetch returned HTTP 403 - so each property was instead identified through web search, and every figure carries its own provenance in data/properties.json.

Price confidence is not uniform, and that matters

Confidence	Count	What it means
Confirmed	4	An exact list price appeared verbatim in a source
Derived	1	Computed from \$/sqft x sqft - arithmetic, not a quoted price
Range only	3	Only a community or plan-level range was published
None	4	No price located anywhere

Only Angleton, Dayton, Crosby and Cut and Shoot have prices quoted verbatim by a source. Caldwell's \$277,750 is arithmetic - Redfin's \$101/sqft multiplied by Lennar's published 2,750 sqft - and is shown throughout as derived rather than quoted. The remaining seven have no usable price, which is why the emails in this pack lead with that question.

The financing and operating assumptions

Input	Value	Basis
Deposit	25%	Conventional floor for a non-owner-occupied purchase
Interest rate	8.25%	7.55% national 30-yr average + investor premium
Term	30 years	Fixed, fully amortising
Closing costs	2%	Title, origination, survey, prepaids
Vacancy	8%	About one month's turnover a year
Maintenance + capex	8%	Below the usual 10% because 11 of 12 are new build
Management	8%	Third-party; you are not local to three states
Letting fee	0%	Deliberately excluded - would worsen every result

Two inputs could move these numbers more than anything else

Property tax and insurance are modelled at market-typical levels, not quoted. Texas rates run 1.6-2.5%, but a MUD on a new subdivision can push past 3% - on a \$290,000 house that single variable is about \$120 a month. Gulf-coast and Louisiana insurance is similarly volatile: the \$4,200 assumed for coastal Brazoria County and the \$6,000 for Lake Charles are order-of-magnitude figures, and a \$2,000 error either way is \$167 a month. Both are asked for explicitly in every seller email.

How the score is built

Eighteen criteria, weighted to 100 points and normalised to a 0-10 score. Financial performance carries 40 of those points, because for a buy-and-hold investment it is the point of the exercise.

Monthly cash flow	18	Weather / peril	4
Capitalisation rate	12	Community amenities	3
Price per sqft vs set	10	HOA cost	3
Flood exposure	8	Airport access	3
Job market	7	Demographics	3
Location quality	7	Population base	2
Workmanship (judgement)	6	Distance to facilities	2
School quality	5	University proximity	2
Builder goodwill (judgement)	4	Walk score	1

Workmanship and builder goodwill are editorial judgements on public reputation and product positioning, not measured quality - no inspection was performed and none should be inferred. Walk score, demographics and school ratings are reasoned from the geography rather than pulled from the scoring services, and are the weakest criteria here. They carry 9 of 100 points between them for that reason.

INVENTORY RECONCILIATION

What was in the folder

Fourteen images resolved to twelve distinct properties. The reconciliation matters because two of the fourteen are not what they first appear.

Count	
14	Screenshots supplied in MMS-ITS/Houstonhome
-1	IMG_3502 duplicates IMG_3490 - same home, same zpid 440099886, shared twice
-1	IMG_3506 carries no link, no address and no caption - unidentifiable
12	Distinct properties that could be identified and researched

Two of them are not individual houses

The Lafayette and Lake Charles links resolve to builder community and floor-plan pages rather than specific addresses. A plan has no lot, no completion date and no fixed price, so there is nothing to underwrite - they are options to build, not houses to buy.

Bedroom count against the brief

The repository is named for a five-bedroom search. Of the twelve, 6 are confirmed five-bedroom, 2 are confirmed NOT (Farmersville and Angleton are both four-bedroom), and 4 could not be established. The Lake Charles community, on Redfin's description, tops out at four bedrooms and 2,079 sqft - it may not meet the brief at all.

And the geography is not Houston

Six of the twelve are genuinely Houston metropolitan - Angleton, Dayton, Crosby, Cut and Shoot, Needville and Huffman. The rest are not. Farmersville and Cleburne are Dallas-Fort Worth, roughly 240 miles away. Snook and Caldwell are Bryan-College Station. Lafayette and Lake Charles are in Louisiana - a different state, different insurance market and different property tax regime. Nothing is wrong with a spread portfolio, but these are four distinct markets, and a single self-managed Houston strategy will not cover them.

Open question before anything else

Four states-worth of market, two listings that are plans rather than houses, two confirmed four-bedroom homes, and one screenshot nobody can identify. Worth confirming the search is actually scoped the way you intend it before putting money behind any of it.

PROPERTY CARDS

The properties, in rank order

Elevations are the images you supplied, cropped to the photograph. Several are builder renderings rather than photographs of the actual house - noted where so, because a rendering is a marketing asset and not evidence of what was built.



RANK 1

SCORE 5.12 / 10

5646 Shelford Birch Dr

Cut and Shoot, TX 77303 (Montgomery Co.)

5 bed - 4 bath - 2,776 sqft - \$104/sqft

Starlight Homes - Avalon Ridge - Pioneer plan

\$289,990 (confirmed)

Rent (est)

\$2,070

Cap rate

2.60%

Cash flow/mo

-\$1,006

DSCR

0.38

Cash needed

\$78,297

Cash-on-cash

-15.4%

bath count conflict

Flood: San Jacinto west fork and Lake Conroe releases - Montgomery County has real flood history



RANK 2

SCORE 4.91 / 10

109 Peluce Pl

Caldwell, TX 77836 (Burlleson Co.)

5 bed - 3 bath - 2,750 sqft - \$101/sqft

Lennar - Whitetail Run - Majors Collection - Ruth plan

\$277,750 (derived)

Rent (est)

\$1,725

Cap rate

2.92%

Cash flow/mo

-\$889

DSCR

0.43

Cash needed

\$74,992

Cash-on-cash

-14.2%

price derived, not quoted

bed count inferred

outside Houston metro

Flood: Inland, Brazos basin



IMG_3492.jpeg

RANK 3

1726 Primrose Pointe Dr
Crosby, TX 77532 (Harris Co.)
5 bed - 4 bath - 2,813 sqft - \$103/sqft
Lennar - Synova - Majors Collection
\$290,990 (confirmed)

Rent (est)
\$2,100

DSCR
0.35

Cap rate
2.37%

Cash needed
\$78,567

Cash flow/mo
-\$1,065

Cash-on-cash
-16.3%

sqft/price conflict

Flood: San Jacinto River basin. Crosby is near the 2017 Arkema plant inundation site; flood zone check essential.



IMG_3490.jpeg

RANK 4

117 Bayou Bend Ct
Angleton, TX 77515 (Brazoria Co.)
4 bed - 3.5 bath - 3,075 sqft - \$117/sqft
Century Communities - Bayou Bend - Sinclair plan
\$359,900 (confirmed)

Rent (est)
\$2,185

DSCR
0.22

Cap rate
1.50%

Cash needed
\$97,173

Cash flow/mo
-\$1,577

Cash-on-cash
-19.5%

not 5-bedroom

Flood: MATERIAL. Brazoria County is coastal; Angleton sits on the Brazos floodplain and the county was hit hard by Harvey. Flood zone must be pulled per parcel.



IMG_3491.jpeg

RANK 5

214 Cross Gable Ln
Dayton, TX 77535 (Liberty Co.)
5 bed - 3 bath - 2,740 sqft - \$131/sqft
DRB Homes - River Ranch - Meyerson plan
\$357,990 (confirmed)

Rent (est)
\$2,000

DSCR
0.24

Cap rate
1.65%

Cash needed
\$96,657

Cash flow/mo
-\$1,525

Cash-on-cash
-18.9%

photo contradicts plan

Flood: Trinity River corridor - Liberty County has significant riverine flood history



Flood: Inland, near Lavin Lake. No coastal surge exposure

IMG_3489.jpeg

NOT RANKED

PARTIAL 6.75 (60% cover)

4003 Somerville Dr

Farmersville, TX 75442 (Collin Co.)

4 bed - 3 bath

Trophy Signature Homes - Lakehaven - Holden plan

NO CONFIRMED PRICE - cannot be underwritten or ranked

not 5-bedroom

outside Houston metro

price unconfirmed



Flood: Inland, no coastal exposure

IMG_3493.jpeg

NOT RANKED

PARTIAL 5.95 (60% cover)

820 Sugartree Dr

Cleburne, TX 76031 (Johnson Co.)

5 bed - 2.5 bath - 3,000 sqft

NHC - Villages of Mayfield Ph Two - Adams - Liberty Series plan

NO CONFIRMED PRICE - cannot be underwritten or ranked

resale, not new

outside Houston metro

price unconfirmed

sqft approximate



Flood: Brazos River within 200 feet. Repeated Brazos flooding history

IMG_3501.jpeg

NOT RANKED

PARTIAL 5.54 (60% cover)

6515 Little Yellow Ct

Needville, TX 77461 (Fort Bend Co.)

specification not established

Lennar - Monarch Landing - Majors Collection

NO CONFIRMED PRICE - cannot be underwritten or ranked

specification unknown

price unconfirmed



IMG_3503.jpeg

NOT RANKED

PARTIAL 5.45 (60% cover)

722 Pescarola Dr

Huffman, TX 77336 (Harris Co.)

specification not established

Lennar - Sila - Bristol & Coastline Collections - Canon plan

NO CONFIRMED PRICE - cannot be underwritten or ranked

under construction

specification unknown

price unconfirmed

Flood: HIGH: San Jacinto River, San Jacinto River has direct flood history



IMG_3496.jpeg

NOT RANKED

PARTIAL 5.26 (60% cover)

173 Cotton Cv

Snook, TX 77878 (Burleson Co.)

specification not established

Lennar - Grand Lake - Classic Collection

NO CONFIRMED PRICE - cannot be underwritten or ranked

specification unknown

price unconfirmed

outside Houston metro



IMG_3499.jpeg

NOT RANKED

PARTIAL 4.29 (60% cover)

Stable View

Lafayette, LA 70507 (Lafayette Parish)

5 bed - 3 bath

D.R. Horton - Stable View (Carencro area) - Rosemont plan

NO CONFIRMED PRICE - cannot be underwritten or ranked

a plan, not a house

out of state

outside Houston metro

Flood: HIGH: Lafayette Parish flooded severely in August 2016 outside mapped high-risk zones.

<https://www.zillow.com/homedetails/>



Flood: VERY HIGH. Calcasieu Parish took direct hits from Hurricanes Laura and Delta in 2020.
IMG_3504.jpeg

NOT RANKED

Crest at Morganfield

Lake Charles, LA 70607 (Calcasieu Parish)

specification not established

DISPUTED - see caution - Crest at Morganfield

NO CONFIRMED PRICE - cannot be underwritten or ranked

a plan, not a house

builder disputed

out of state

outside Houston metro

may not be 5-bed

UNIDENTIFIED

The screenshot that cannot be scored

IMG_3506 is the only image in the folder with no Zillow link, no address and no caption. It is a builder elevation rendering of a single-storey brick-and-stone home with a two-car garage. Without a location it cannot be priced, scored, or compared - and unlike the other thirteen it is full-bleed, with no WhatsApp chrome, so there is no surrounding context to recover an address from either.



IMG_3506.jpeg - 1266 x 709 - no link, no address

Either identify it or drop it from the comparison. If you still have the original WhatsApp thread, the message immediately before or after it will almost certainly carry the link.

LIMITS OF THIS ANALYSIS

What is not verified

Following the convention in your other repositories, this is the explicit list of what could not be confirmed. It is not a footnote - several of these could change a conclusion.

Could not be obtained at all

- Any price for Farmersville, Cleburne, Snook, Needville, Huffman, Lafayette or Lake Charles - seven of twelve properties.
- The actual property tax rate on any individual parcel. County-typical rates are modelled; a MUD, PID or SUD could add more than a point.
- A single insurance quote. Every premium here is an estimate, and coastal Texas and Louisiana are the most volatile placements in the US.
- Confirmed HOA dues for any of the twelve.
- FEMA flood zone determinations per parcel - the exposure notes are from regional history, not from a map pull for these addresses.
- Property-level vacancy rates. A flat 8% is applied everywhere, which is likely optimistic in Caldwell and Snook where ownership dominates and the rental pool is thin.
- Walk Score, GreatSchools and Niche ratings as published numbers; school and walkability scores here are reasoned from geography.
- Lease restrictions in the HOA covenants. Some master-planned communities cap or forbid rentals outright, which would end the investment case for a given property regardless of its economics.

Known internal conflicts, left visible rather than smoothed over

- Dayton: the supplied photograph shows a single-storey house, but every source describes the DRB Meyerson as a two-storey plan. One of the two is wrong.
- Crosby: Redfin's \$111/sqft against 2,813 sqft implies about \$312,000, which does not reconcile with the \$290,990 list price (\$103/sqft). One figure is stale.
- Cut and Shoot: Trulia says three bathrooms, the builder and Redfin say four. The builder-direct figure was preferred.
- Lake Charles: two different builders, D.R. Horton and DSLD Homes, both market a community of nearly this name in ZIP 70607 with different price ranges. Which one your link refers to is unresolved.
- Caldwell: Lennar and D.R. Horton both market a 'Whitetail Run' in Caldwell, with different plan sizes - the same name collision.
- Caldwell bed count: five is assembled from the layout description, not from any source stating '5 bedrooms'.

Modelling choices that flatter the result

- Rent is lifted 15% above the published median to reflect the size of these houses. Without that premium every cash flow is roughly \$230-330 a month worse.
- Maintenance is set at 8% rather than the customary 10%, on the basis that eleven of twelve are new build under warranty.
- Letting fees are excluded entirely.
- No allowance is made for the lease-up gap on the Huffman house, which is still under construction and will not produce rent on completion of a purchase.
- Appreciation is not modelled at all. On the available evidence that is the conservative choice: Conroe home values are down 1.0% year on year with homes taking about 70 days to go pending, and Burleson County is running 79 days on market.

Read this before acting on any number in this document

This is a desk study built from search-engine snippets, because every listing site blocked direct access. It is a tool for deciding which questions to ask and which properties to drop - not a substitute for the seller's own figures, a bindable insurance quote, a parcel tax statement, the HOA covenants, or an inspection. The emails accompanying this pack are written to collect exactly what is missing.

IF YOU STILL WANT TO PROCEED

What would have to change

The arithmetic is not an argument against these markets, and not against buy-and-hold. It is an argument against buying these houses, at these prices, with this financing, today. Four things could change the answer.

1. Pay substantially less, or put substantially more down

At 8.25% the break-even deposit is not 25% but something closer to 55-65% on these rent-to-price ratios. Alternatively the price would have to fall far enough for the cap rate to clear the mortgage rate - on Cut and Shoot that means roughly \$91,382 against an asking price of \$289,990. Neither is a negotiation; both are a different transaction.

2. Buy for appreciation and fund the deficit deliberately

A conscious decision to carry \$10,670 to \$18,926 a year as the cost of holding land and a new house in a growing metro is defensible - but it is a speculation on price, not a rental investment, and it should be sized against the fact that the nearest market with published data is currently falling, not rising.

3. Harvest the builder incentives instead of the asset

Two builders in this set are already advertising rate buydowns: Trophy Signature in Farmersville at 3.25% (6.080% APR) with free appliances, and DSLD in Lake Charles at 3.99% initial (6.788% APR) with up to \$12,000 toward costs. Note that DSLD's offer is tied to FHA, RD and VA products, none of which is available for an investment purchase - worth establishing what the investor-eligible equivalent is before treating it as a reason to prefer that community.

4. Change the product

Nothing in this set was selected for rental yield; these are family houses in exurban master-planned communities, which is the hardest product to make work as a leveraged rental at current rates. A smaller three-bedroom at half the price in an established rental submarket typically shows a materially better rent-to-price ratio than a 3,000 sqft five-bedroom on the edge of the metro.

The immediate next step

Send the emails. Seven of twelve have no price at all, no HOA figure is confirmed, no tax rate is parcel-specific and no insurance is quoted. Those four gaps are worth more than any further desk analysis, and three of them are the inputs most likely to move the result.

DRAFTED AND READY IN LETTERS/

The eight emails

Twelve properties, but eight recipients - Lennar alone accounts for five of the homes, so that approach is consolidated into a single letter which also presents you as a portfolio buyer rather than five separate enquiries.

File	Recipient	Covers	The question that matters most
01-lennar-...	Lennar (3 divisions)	5	Price for 4 of the 5; investor eligibility; MUD rates
02-century-...	Century Communities	1	Coastal Brazoria insurance quote and flood zone
03-drb-homes-...	DRB Homes	1	Why the photo shows one storey and the plan says two
04-starlight-...	Starlight Homes	1	Montgomery MUD rate; what is standard, not optional
05-trophy-...	Trophy Signature	1	Is the 3.25% offer open to an investor at all?
06-dr-horton-...	D.R. Horton (LA)	1	A specific address; tax without homestead exemption
07-lake-charles-...	DSL D and D.R. Horton	1	Which builder is it, and does a 5-bed even exist?
08-cleburne-...	Resale listing agent	1	Price, seller motivation, tax without homestead cap

Four questions appear in every letter

- The parcel's actual tax rate by taxing unit, including any MUD, PID or SUD, both today and at district build-out. This is the largest single unknown in the model - on a \$290,000 house, 2.2% against 3.0% is about \$190 a month.
- A bindable insurance quote rather than an estimate, with the wind, hail and named-storm deductibles spelled out. A \$2,000 error here is \$167 a month.
- Whether the HOA covenants permit letting at all - minimum lease term, a cap on the proportion of rented homes, a waiting period after closing. If a community forbids rentals, its economics are irrelevant, and this is asked before anything else for that reason.
- Whether the advertised incentive is available to an INVESTOR. Two builders here advertise headline rates that are tied to FHA, RD or VA financing, none of which an investment purchase can use. Each letter asks for the investor-eligible equivalent by name.

The letters state the deficit openly

Each email tells the builder or agent what my model shows and asks whether better information changes it. That is deliberate. It invites a serious counter-proposal rather than a brochure, it signals that an incentive would have to be substantial to matter, and on the one resale it opens the price conversation honestly instead of wasting two rounds getting there.